CHAPTER-5 RETIREMENT AND DEATH OF A PARTNER

Retirement of a partner:

A partner may retire from an existing partnership with the consent of all the partners or if there is an agreement to that effect or if the partnership is at will then after giving a notice to all other partners of his intention to retire.
On his retirement, the outgoing/retiring partner will lose all his rights in the share the profits of the firm as well as share the assets of the firm.

Effects of retirement of a partner:

1. The old partnership comes to an end and new partnership is commenced.
2. The retiring partner loses his right as a partner i.r.t share of profits and share in the assets of the firm.
3. The retiring partner is paid his share of capital investment as it stands on the date of his retirement.
4. The retiring partner may also be entitled his share in the goodwill of the existing firm. Goodwill may be valued by the partners at the time of retirement.
5. The retiring partner may request the other partners to revalue the assets and liabilities before retiring from partnership. Any profit or loss arising on such revaluation will have to be adjusted among the existing partners as on the date of retirement.
6. The amount payable to the retiring partner after all adjustments may be paid off immediately subject to availability of funds or it may be kept as loan with/without interest until it is fully paid off.
7. Adjustments may be required for making the capitals as proportionate to the sharing ratio among remaining partners.
8. A retiring partner will remain liable for the acts done by the firm upto the date of his retirement but not for the acts done after public notice of his retirement has been given.

Procedure/steps involved in accounting at the time of retirement of a partner:

1. Calculate new profit-sharing ratio among remaining partners and gaining ratio of remaining partners in which they acquire the share of retiring partner.
2. Make adjustments for goodwill through capital to capital entry.
3. Make adjustment for any reserve or surplus or accumulated losses that appear in the balance sheet before retirement of partner.
4. Revalue assets and liabilities.
5. Treatment of Joint Life Policy and individual life policies.
6. Make capital adjustments among remaining partners.
7. Prepare revised capital accounts and fresh balance sheet after retirement of a partner.
8. Show the retired partner's loan account until it is fully paid off.

Let us discuss the steps involved at the time of retirement of a partner in detail:

I. New Profit-sharing ratio:

New profit-sharing ratio has to be calculated for sharing the future profits among the remaining partners after retirement of an existing partner.

New profit-sharing ratio is sometimes given in the question, hence no need to calculate it again. But sometimes it has to be calculated where information is available as to how the remaining partners acquires the share of profits of the retiring partner.

Commerce Wallah

Remaining partners may acquire the share of retiring partner in any of the following ways:

a. In their old PSR, or
b. In an agreed ratio, or
c. By some remaining partners only in an agreed ratio, or

New profit-sharing ratio is calculated as follows:

1. **For all the remaining partners:**

   New share = Old share + Gained share

   (Old share is calculated from old PSR, gained share is calculated from the details given in the question regarding how the remaining partner gains the share of retiring partner.)

2. **New profit-sharing ratio for all remaining partners:**

   NPSR = Ratio of new share of all partners as calculated in point 1 above.

Example: *if A, B, C were old partners, then old PSR is given as A: B: C. Now partner C retires from their partnership. The remaining old partners must gain some of the share of profits of the retiring partner C. The profits gained by remaining partners are clubbed together with the old shares of each partner to find out the new share in future profits of the firm. Finally, new profit-sharing ratio between all remaining partners is written as A: B.*

II. Gaining Ratio:

Gaining ratio is the ratio in which the remaining partners gain the share of profits of the retiring partner.

Gained share = New share – Old share

Gaining Ratio = Ratio of Gained share by all remaining partners

Notes:

1. Where nothing is given as to how the remaining partners get the share of retiring partner, then it is assumed that all remaining partners get his share in their old PSR. Hence the old PSR becomes the gaining ratio among remaining partners.

2. When the new PSR is not given and nothing is given regarding how the retiring partner's share is acquired, then new PSR between the remaining partners remain same.

3. Before attempting any question make sure that old PSR, new PSR and gaining ratio is available. It will be helpful when everything is available as these ratios are important for making various adjustments among partners at the time of retirement of a partner.

4. When the any remaining partner starts to lose on the retirement of a partner due to fresh arrangement between them, then his gained share is written with minus sign.

III. Adjustment of Goodwill:

When a partner retires from the partnership, then the partners estimate the amount of goodwill of their business. Now since the goodwill has been generated by the old partners over a period of time, the retiring partner is justified in asking the remaining partners to compensate him for his share of goodwill which will be gained by the remaining partners.

From accounting point of view:

1. The retiring partner will be compensated for acquisition of his share of goodwill by the remaining partners in their gaining ratio.

2. If the retiring partner is compensated by the remaining partners by paying his share of goodwill privately outside the business, then no accounting treatment is done in books of partnership firm.

3. Following journal entries are done at the time of adjusting goodwill:

   a. <u>For adjusting the retiring partners share of goodwill among gaining partners:</u>

Gaining Partners' Capital/Current A/c		Dr.
To Sacrificing/Retiring Partners' Capital/Current A/c		

   b. <u>For bringing in the amount of retiring partner's share of goodwill by remaining partners:</u>

Cash/Bank A/c		Dr.
To Gaining Partners' Capital/current A/c		

4. Sometimes goodwill appears in the existing balance sheet of the old partners. The existing goodwill will always be written off between old partners in their old PSR before making any further adjustment of goodwill.
   After existing goodwill has been written off, then fresh valuation of goodwill will be done and then the above mention journal entries will be passed.

   <u>For writing off the value of existing goodwill:</u>

Old partners' Capital/current A/c		Dr.
To Goodwill A/c		

<u>Concept of Hidden Goodwill or Inferred Goodwill</u>

Sometimes the amount of goodwill is not given but it is required to be calculated on the basis of the amount of final payment made to the retiring partner. Any amount paid to the retiring partner in excess of the actual amount payable to him after all the necessary adjustments of profits, losses, reserves, revaluation of assets and liabilities, is called his share of goodwill. The goodwill so estimated by using this method is called inferred or hidden goodwill.

For example: A, B, C are equal partner. C retires from the firm and his capital outstanding in the books of accounts after all the necessary adjustments is ₹ 50000/-. A and B have agreed to pay him ₹ 60000/- in full settlement of his account.
This implies that the extra ₹ 10000/- that is paid to the retiring partner is his share of goodwill. Hence the total goodwill of the firm is ₹ 30000/-.

IV. <u>Revaluation of Assets and Liabilities:</u>

The value of assets and liabilities may differ from their book values at the time of retirement of a partner. In such a situation the remaining partners may decide to revalue the assets and liabilities to their present value so that the retiring partner's final payment can be decided and that he is not put to any advantage or disadvantage because of incorrect values of assets and

Commerce Wallah

liabilities.

For the purpose of revaluation of assets and liabilities, a new account named 'Revaluation Account' is opened. It is a nominal account and shows the net profit or loss on revaluation of assets and liabilities.

Journal entries for carrying out the revaluations are:

1. For increasing the value of an asset:

Asset A/c		Dr.
To Revaluation A/c		

2. For decreasing the value of an asset:

Revaluation A/c		Dr.
To Asset A/c		

3. For increasing the value of a liability:

Revaluation A/c		Dr.
To Liability A/c		

4. For decreasing the value of a liability:

Liability A/c		Dr.
To Revaluation A/c		

5. For recording of an unrecorded asset:

Asset A/c		Dr.
To Revaluation A/c		

6. For recording of an unrecorded liability:

Revaluation A/c		Dr.
To Liability A/c		

7. For distributing the net profit on revaluation among old partners in their old PSR:

Revaluation A/c		Dr.
To Old Partners' Capital/current A/c		

8. For distributing the net loss on revaluation among old partners in their old PSR:

Old Partners' Capital/current A/c		Dr.
To Revaluation A/c		

It must be noted that when all revaluation of assets and liabilities have been recorded then the assets and liabilities which have been revalued shall be shown at their revalued figures in the balance sheet after retirement of partner.

Commerce Wallah

Dr. **Revaluation A/c** **Cr.**

Particulars	Amount ₹	Particulars	Amount ₹
To Decrease in asset	XX	By Increase in Asset	XX
To Increase in Liability	XX	By Decrease in Liability	XX
To Unrecorded Liability	XX	By Unrecorded Asset	XX
To Profits transferred in Old PSR:*		By Loss transferred in Old PSR:*	
A ---		A ---	
B ---	XX	B ---	XX
Total:	**XXXX**	**Total:**	**XXXX**

* Any one

Concept of Memorandum Revaluation Account

Sometimes the partners may decide to adjust the values of all assets and liabilities on their revaluation but without altering the same in the balance sheet. This method helps the partners to adjust any gain or loss on revaluation of assets and liabilities and at the same time keeps the assets and liabilities at their present values even after retirement of a partner.

This is done by making a memorandum revaluation account. This account is not a part of book keeping and accounting process and is made in separate set of books only for the purpose of making adjustment in partners' capital accounts on retirement of partner.
The memorandum revaluation has two parts. In the first part the same treatment is done just like revaluation account. In the second part the reverse treatment is given to nullify the effects of revaluation so that the values of assets and liabilities remain unaltered.
However, where in the first part the profit/loss is distributed among old partners in their old PSR; in the second part the loss/profit is distributed among remaining partners excluding retiring partner in their new PSR.

Dr. **Memorandum Revaluation A/c** **Cr.**

Particulars	Amount ₹	Particulars	Amount ₹
To Decrease in asset	XX	By Increase in Asset	XX
To Increase in Liability	XX	By Decrease in Liability	XX
To Unrecorded Liability	XX	By Unrecorded Asset	XX
To Profits transferred in Old PSR:*		By Loss transferred in Old PSR:*	
A ---		A ---	
B ---		B ---	
C ---		C ---	
	XX		XX
To Increase in Asset	XX	By Decrease in asset	XX
To Decrease in Liability	XX	By Increase in Liability	XX
To Unrecorded Asset	XX	By Unrecorded Liability	XX
To Profits transferred in New PSR:#		By Loss transferred in New PSR:#	
A ---		A ---	
B ---	XX	B ---	XX
Total:	**XXXX**	**Total:**	**XXXX**

* # Any one

V. Adjustment of accumulated reserves, profits and losses:

The amount of reserves, profits and losses that appear in the balance sheet before the retirement of a partner belongs to the old partners and that too in their old PSR. Hence such amount of profits and losses are distributed among the old partners in their old PSR on retirement of a partner.

Following journal entries are passed:

1. For distribution of reserves and profits:

General Reserve A/c	Dr.
P&L A/c	Dr.
Reserve Fund A/c	Dr.
Workmen Compensation Fund A/c	Dr.
Investment Fluctuation Reserve A/c	Dr.
To Old Partners' Capital/Current A/c	

2. For distribution of accumulated losses:

Old Partners' Capital/Current A/c	Dr.
To P&L A/c	
To Deferred Revenue Expenditures A/c	
To Misc. Expenditure A/c	

The treatment of workmen compensation fund and investment fluctuation reserve is the same as in case of admission of a partner.

VI. Computation of amount due to retiring partner

The amount due to a retiring partner is ascertained by preparing his capital account after taking into consideration the following adjustments:

1. Opening balance of his capital account and current account
2. Share of profit/loss on revaluation of assets and liabilities
3. Share in accumulated profits and losses
4. Share of goodwill of firm
5. Share of profit till the date of retirement
6. Salary, interest, bonus, commission due to him till the date of retirement

The amount payable to the retiring partner can be paid immediately or deferred for future settlement depending upon the availability of funds.
If the question is silent on his settlement, then the net amount payable to the retiring partner is transferred to his loan account until it is finally paid off.

Payment to retiring partner's loan can be made in following ways:

1. Payment in equal installment with or without interest
2. Payment of full amount in one time

VII. Adjustment of capitals

The remaining partners may decide that their capitals after retirement of a partner be so adjusted that they are in proportion to their PSR. The adjustment can be made through current accounts or in cash.

Case:1 When total capital of new firm is given:

Steps:
1. Calculate the present capitals of remaining partners after all the necessary adjustments.
2. Calculate the proportionate capitals of the remaining partners in the new firm in their new PSR.
3. Find out the surplus or deficit as per point 1 and 2 above.
4. Make adjustment through current account or in cash.

Case:2 When total capital of new firm is not given:

Steps:
1. Calculate the present capitals of remaining partners after all the necessary adjustments.
2. Calculate the total capital of the new firm by aggregating the capital balances as per point 1 above,
3. Now calculate the proportionate capitals of the remaining partners in the new firm in their new PSR.
4. Find out the surplus or deficit as per point 1 and 2 above.
5. Make adjustment through current account or in cash.

Case:3 When the retiring partner is to be paid through cash brought in by the remaining partners in such a way as to make their capitals proportionate to their new PSR:

Steps:
1. Calculate the present capitals of remaining partners after all the necessary adjustments.
2. Calculate the total capital of the new firm by aggregating the capital balances as per point 1 above and the amount of cash to be brought in by the remaining partners to make payment to retiring partner.
3. Now calculate the proportionate capitals of the remaining partners in the new firm in their new PSR.
4. Find out the surplus or deficit as per point 1 and 2 above.
5. Make adjustment through current account or in cash.

VIII. Retirement during the year:

It is also possible that a partner may retire from the firm during the year. In such a situation the retiring partner is also entitled to his share in profits from the start of the accounting year till the date of his retirement.
His share is calculated as per the provisions of the deed. Sometimes it is calculated on the basis of last year's profit. In such a case the profit is calculated for the period up to date of retirement and then retiring partner's share is calculated and credited to him.

Profits upto the date of retirement can be calculated as per two methods:
1. Time basis
2. Sales/turnover basis

Journal entry for retiring partner's share upto the date of retirement:

Profit & Loss Suspense A/c	Dr.	
To Retiring partner's capital A/c		

IX. Death of a partner:

The accounting treatment in the event of death of a partner is similar to that in case of retirement of a partner, and that in case of death of a partner his claim is transferred to his executor's account and settled in the same manner as that of the retired partner. However, there is one major difference that, while the retirement normally takes place at the end of an accounting period, the death of a partner may occur any time.
Hence, in case of a death, his claim shall also include his share of profit or loss, interest on capital, interest on drawings (if any) from the date of the last Balance Sheet to the date of his death. The main problem relates to the calculation of profit for the intervening period (i.e., the period from date of the last balance sheet and the date of the partner's death.
Since, it is considered cumbersome to close the books and prepare final account, for the period, the deceased partner's share of profit may be calculated on the basis of last year's profit (or average of past few years) or on the basis of sales.

Journal entry for transfer of capital balance to executor account:

Deceased partner's capital A/c	Dr.	
To Executor A/c		

Payment to executor can be made in following ways:
1. Payment in equal installment with or without interest
2. Payment of full amount in one installment

Section 37 of the Indian Partnership Act' 1932

As per the provisions of section 37 of the act, if full or part amount of outgoing partner still remains in the firm and has not yet been paid back then the outgoing partner or his legal representatives are entitled to the higher of the following two amounts:

1. Interest @ 6% p.a on the amount outstanding, or
2. Share in the profits earned by the firm proportionate to his amount outstanding to the total capital of the firm, i.e.:
   Share in profits = $\frac{\text{Profits made after retirement/death} * \text{Amount o/s of retiring partner}}{\text{Total capital of all partners} + \text{Amount o/s of retiring partner}}$

It must be noted that if there is an agreement in the deed that interest or share of profits or nothing will be paid in such situation, then it shall be applicable.

Commerce Wallah

Test Your Knowledge & Practice

Calculation of New Profit-Sharing Ratio and Gaining Ratio

1. A, B and C were partners sharing profits in the ratio of 1/2, 2/5 and 1/10. Find the new ratio of the remaining partners if C retires.
(Ans: New PSR: 5:4)

2. Ram, Mohan and Sohan were partners sharing profits in the ratio of 1/5, 1/3 and 7/15 respectively. Sohan retires and his share was taken up by Ram and Mohan in the ratio of 3:2. Find out the new ratio.
(Ans: New PSR: 12:13)

3. From the following particulars, calculate new profit-sharing ratio of the partners:
(a) S, M and H were partners in a firm sharing profits in the ratio of 5:5:4. M retired and his share was divided equally between S and H.
(b) P, Q and R were partners sharing profits in the ratio of 5:4:1. P retires from the firm.
(Ans: New PSR (a) 15:13; (b) 4:1)

4. K, M and S are three partners sharing profits in the ratio of 4:3:2. K retires. Assuming M and S will share profits in future in the ratio of 5:3, determine the gaining ratio.
(Ans: Gaining Ratio: 21:11)

5. X, Y and Z are partners sharing profits in the ratio of 1/2, 3/10, and 1/5. Calculate the gaining ratio of remaining partners when Y retires from the firm.
(Ans: Gaining Ratio: X:Z : 5:2)

6. P, Q, R and S were partners sharing profits in the ratio of 5:4:3:1. P and S retire from the firm. Calculate the gaining ratio and new profit-sharing ratio of Q and R.
(Ans: Gaining Ratio: 4:3 and New PSR: 4:3)

7. On 1st July, 2023 A, B and C were partners sharing profits and losses in the ratio of A: 5/10, B: 3/10 and C: 2/10 respectively. On this date B retires. The new profit-sharing ratio of A and C will be A: 3/5 and C: 2/5. Calculate gaining ratio.
(Ans: Gaining Ratio: 1:2)

8. W, X, Y and Z are partners sharing profits and losses in the ratio of 1/3, 1/6, 1/3 and 1/6 respectively. Y retires and W, X and Z decide to share the profits and losses equally in future. Calculate gaining ratio.
(Ans: Gaining Ratio of W, X and Z : 0:1:1)

9. A, B and C were partners sharing profits in the ratio of 4:3:2. A retires, assuming B and C will share profits in the ratio of 2:1. Determine the gaining ratio.
(Ans: Gaining Ratio: 3:1)

10. A, B and C are partners sharing profits and losses in the ratio of 4:3:2. C retires from the business. A is acquiring 4/9 of C's share and balance is acquired by B. Calculate the new profit-sharing ratio and gaining ratio.
(Ans: Gaining Ratio of A and B: 4:5; New PSR: 44:37)

11. Sita, Geeta and Meeta were partners in a firm sharing profits in the ratio of 7:6:7. Geeta retired and her share was divided equally between Sita and Meeta. Calculate the new profit-sharing ratio of Sita and Meeta.
(Ans: New PSR: 1:1)

12. R, S and M are partners sharing profits in the ratio of 2/5, 2/5 and 1/5. M decides to retire from the business and his share is taken by R and S in the ratio of 1:2. Calculate the new profit-sharing ratio.
(Ans: New PSR: 7:8)

Commerce Wallah

13. A, B, C and D were partners in a firm sharing profits in 5:3:2:2 ratio. B and C retired from the firm, B's share was acquired by D and C's share was acquired by A. Calculate new profit-sharing ratio of A and D.
(Ans: New PSR: 7:5)

14. A, B and C are partners in a firm sharing profits in the ratio of 5:3:2 respectively. B retires and his share is taken up by A and C in the ratio of 2:1. Then immediately, D is admitted for 25% share of profits, half of which was gifted by A and remaining share was taken by D equally from A and C Calculate new profit-sharing ratio after D's admission.
(Ans: New PSR: 41:19:20)

15. A, B and C were partners in a firm sharing profits in the ratio of 8:4:3. B retires and his share is taken up equally by A and C. Find the new profit-sharing ratio.
(Ans: New PSR: 2:1)

16. A, B and C are partners in a firm sharing profits and losses in the ratio of 4:3:2. B decides to retire from the firm. Calculate new profit-sharing ratio of A and C in the following circumstances:
(a) If B gives his share to A and C in the original ratio of A and C.
(b) If B gives his share to A and C in equal proportion.
(c) If B gives his share to A and C in the ratio of 3:1.
(d) If B gives his share to A only.
(Ans: (a) 2:1; (b) 11:7; (c) 25:11; (d) 7:2)

17. Rekha, Ruchi and Suruchi are partners. Ruchi retires. Calculate new ratio if continuing partners acquired her share in the ratio of 2:3 Also mention the gaining ratio.
(Ans: New PSR: 7:8; Gaining Ratio: 2:3)

18. A, B and C are partners sharing profits in the ratio of 4:3:2. B retires his share was taken up by A and C in the ratio of 3:2. Find out the new ratio.
(Ans: New PSR: 29:16)

19. A, B and C are partners sharing profits in the ratio of 4:3:1. A retires and his share is taken over by B and C equally. Calculate the new ratio.
(Ans: New PSR: 5:3)

20. X, Y & Z share profits and losses in the ratio of 1/2, 3/10 & 1/5 respectively, Y retires and his share is taken up by X & Z in the ratio of 2:1. Then immediately, W is admitted for 1/4th share of profits, half of which was gifted by X and the remaining share was taken by W equally from X & Z. Calculate the new profit sharing ratio after W's admission.
(Ans: New PSR: 41:19:20)

Treatment of Goodwill

21. L, M and O are partners sharing profits and losses in the ratio of 4:3:2. M retires and the goodwill is valued at ₹ 72,000. Calculate M's share of goodwill and pass the necessary Journal entry for the same without opening the Goodwill Account if L and O decided to share the future profits and losses in the ratio of 5:3.
(Ans: M's share of Goodwill ₹ 24,000; Debit L's A/c by ₹ 13,000 and O's A/c by ₹ 11,000; Credit M's A/c by ₹ 24,000)

22. A, B, C and D are partners sharing profits and losses in the ratio of 3:3:2:2. D retires and A, B and C decide to share the future profits in the ratio of 3:2:1. Goodwill of the firm is valued at ₹ 1,80,000. Goodwill already appears in the books of the firm at ₹ 50,000. The profit for the first year after D's retirement was ₹ 3,00,000. Give the necessary journal entry.
(Ans: Dr. A's A/c by ₹ 36,000, B's A/c by ₹ 6,000; Cr. C's A/c by ₹ 6,000 & D's A/c by ₹ 36,000)

Commerce Wallah

23. A, B and C are partners sharing profits and losses in the ratio of 4:3:1. B retires, selling his share of profits to A and C for ₹ 4,860; ₹ 2,160 being paid by A and ₹ 2,700 by C. The profit for the year after B's retirement was ₹ 6,300. You are required to give necessary journal entry to record the above said sale of B's share to A and C, and to calculate the new profit-sharing ratio and distribute the profit between A and C. A and C brings the necessary cash.
(Ans: Gaining Ratio: 4:5, New PSR: 2: 1)

24. P, Q and R were partners sharing profits in the ratio of 2:1:1. Q retired and the new profit-sharing ratio between P and R was equal. On Q's retirement, the goodwill of the firm was valued at ₹ 40,000. Pass necessary Journal entry for the treatment of goodwill without opening Goodwill Account on Q's retirement.
(Ans: Debit R's A/c and Credit Q's A/c by ₹ 10,000)

25. A, B and C are three partners sharing profits in the ratio of 4:3:2. B retires and goodwill of the firm is valued at ₹ 10,800. No goodwill appears as yet in the books of the firm. A and C decide to share future profits in the ratio of 5:3. Pass Journal entries.
(Ans: Debit A's A/c by ₹ 1,950 and C's A/c by ₹ 1,650; Credit B's A/c by ₹ 3,600)

26. A, B and C are partners sharing profits in the ratio of 3:2:1. B retired and the new profit-sharing ratio between A and C was 2:1. On B's retirement, the goodwill of the firm was valued at ₹ 90,000. Pass necessary Journal entry for the treatment of goodwill on B's retirement.
(Ans: Debit A's A/c and C's A/c by ₹ 15,000 each and Credit B's A/c by ₹ 30,000; Gaining Ratio: 1:1)

27. X, Y and Z are partners sharing profits & losses in the ratio of 4/9:1/3:2/9 respectively. Y retires; X and Z decide to share future profits & losses in the ratio of 5:3. The goodwill of the firm is valued at ₹ 72,000. Goodwill already appears in the books of the firm at ₹ 7,200. The profit for the first year after Y's retirement was ₹ 72,000. Give the necessary journal entries to adjust goodwill and to distribute profits.
(Ans: Gaining Ratio: 13:11)

28. A, B and C are partners sharing profits in the ratio of 4/9:3/9:2/9. B retires and his capital after making adjustments for reserves and profit on revaluation stands at ₹ 1,39,200. A and C agreed to pay him ₹ 1,50,000 in full settlement of his claim. Record necessary Journal entry for adjustment of goodwill if the new profit-sharing ratio is decided at 5:3.
(Ans: Hidden Goodwill: ₹ 10,800; Gaining Ratio: 13:11; Dr. A's A/c by ₹ 5,850 and C's by ₹ 4,950; Cr. B's A/c by ₹ 10,800)

29. X, Y and Z are partners sharing profits in the ratio of 4:3:2. Y retires and his capital after making adjustments for reserves and profits on revaluation stands at ₹ 55,680. X and Z agreed to pay him ₹ 60,000 in full settlement of his claim. Record the necessary Journal entry for the treatment of goodwill if the new profit-sharing ratio is decided at 5:3.
(Ans: Hidden Goodwill: ₹ 4,320, Gaining Ratio: 13:11)

30. Asha, Naveen and Shalini were partners in a firm sharing profits in the ratio of 5:3:2. Goodwill appeared in their books at a value of ₹ 80,000 and General Reserve at ₹ 40,000. Naveen decided to retire from the firm. On the date of his retirement, goodwill of the firm was valued at ₹ 1,20,000. The new profit ratio decided among Asha and Shalini is 2:3. Record necessary Journal entries on Naveen's retirement.

Revaluation Account

31. A, B and C were partners, sharing profits and losses in the ratio of 2:2:1. B decides to retire on 31st March, 2023. On the date of his retirement, some of the assets and liabilities appeared in the books as follows: Creditors ₹ 70,000; Building ₹ 1,00,000; Plant and Machinery ₹ 40,000; Stock of Raw Materials ₹ 20,000; Stock of Finished Goods ₹ 30,000 and Debtors ₹ 20,000.
The following was agreed among the partners on B's retirement:
(a) Building to be appreciated by 20%.

CommerceWallah

(b) Plant and Machinery to be depreciated by 10%.
(c) A Provision of 5% on Debtors to be created for Doubtful Debts.
(d) Stock of Raw Materials to be valued at ₹ 18,000 and Finished Goods at ₹ 35,000.
(e) An Old Computer previously written off was sold for ₹ 2,000 as scrap.
(f) Firm had to pay ₹ 5,000 to an injured employee.
Pass necessary Journal entries to record the above adjustments and prepare the Revaluation Account.
(Ans: Profit on Revaluation: ₹ 15,000)

32. X, Y & Z share profits and losses in the ratio of 5:3:2 respectively. Y retires and X & Z decide to share future profits & losses in the ratio of 3:5. At the time of retirement of Y, Debtors and Provision for Doubtful Debts appeared at ₹ 22,800 and ₹ 2,400 respectively. All Debtors are good. Pass the necessary journal entries.
(Ans: Profit on Revaluation: ₹ 2,400)

33. X, Y & Z share profits and losses in the ratio of 5:3:2 respectively. Y retires and X & Z decide to share future profits & losses in the ratio of 3:5. At the time of retirement of Y, Debtors and Provision for Doubtful Debts appeared at ₹ 22,800 and ₹ 2,400 respectively. ₹ 1,800 of the debtors proved bad. A provision of 5% is to be created on Sundry Debtors for doubtful debts. Pass necessary journal entries.
(Ans: Loss on Revaluation: ₹ 450)

34. Ramesh wants to retire from the firm. The profit on revaluation of assets and liabilities on that date was ₹ 12,000. Mohan and Rahul want to share this in their new profit-sharing ratio of 3:2. Ramesh wants this to be shared equally. How is the profit to be shared? Give reasons.

35. X, Y & Z share profits and losses in the ratio of 5:3:2 respectively. Y retires and X & Z decide to share future profits & losses in the ratio of 3:5. At the time of retirement of Y, Stock (Book Value ₹ 30,000) is to be reduced by 40% and Furniture (Book Value ₹ 18,000) is to be reduced to 40%. Pass the necessary journal entries.
(Ans: Loss on Revaluation: ₹ 22,800)

36. X, Y & Z share profits and losses in the ratio of 5:3:2 respectively. Y retires and X & Z decide to share future profits & losses in the ratio of 3:5. At the time of retirement of Y, Investments appeared at ₹ 24,000, Half of the Investments to be taken over by partners in their profit-sharing ratio at book value. Remaining Investments were valued at ₹ 15,000. Pass the necessary journal entries.
(Ans: Profit on Revaluation: ₹ 3,000)

37. X, Y and Z are partners sharing profits and losses in the ratio of 5:3:2. Z retires and on the date of his retirement, the following adjustments were agreed upon:
(a) The value of Furniture is to be increased by ₹ 12,000.
(b) The value of stock to be decreased by ₹ 10,000.
(c) Machinery of the book value of ₹ 50,000 is to be depreciated by 10%.
(d) A Provision for Doubtful Debts @ 5% is to be created on debtors of book value of ₹ 40,000.
(e) Unrecorded investment worth ₹ 10,000 is to be recorded.
(f) An item of ₹ 1,000 included in bills payable is not likely to be claimed, hence should be written back.
Pass necessary Journal entries.
(Ans: Revaluation Profit: ₹ 6,000)

Treatment of Reserves and Accumulated Profits/Losses

38. X, Y and Z are partners in a firm sharing profits and losses in the ratio of 3:2:1. Z retires from the firm on 31st March, 2023. On the date of Z's retirement, the following balances appeared in the books of the firm:
General Reserve ₹ 1,80,000, Profit and Loss Account (Dr.) ₹ 30,000, Workmen Compensation Reserve ₹ 24,000 which was no more required, Employees' Provident Fund ₹ 20,000.
Pass necessary Journal entries for the adjustment of these items on Z's retirement.

Commerce Wallah

39. A, B and C are partners in a firm sharing profits and losses in the ratio of 5:3:2. C retires. On the date of C's retirement, the following balances appeared in the books of the firm:
General Reserve ₹ 6,000; Profit and Loss Account (Dr.) ₹ 3,000, Workmen's Compensation Reserve ₹ 12,000 out of which a liability of ₹ 4,800 is to be provided, Employees' Provident Fund ₹ 36,000.
Pass the necessary Journal entries for the adjustment of these items on C's retirement.

40. Give the journal entry to distribute Workman Compensation Reserve of ₹ 36,000 at the time of retirement of Saman, when there is no claim against it. The firm has three partners Rajat, Saman and Kavita.

41. Give the journal entry to distribute Investment Fluctuation Reserve of ₹ 2,400 at the time of admission of Z, when Investments (market value ₹ 11,400) appear at ₹ 12,000. The firm has three partners ₹ X, Y and Z.

42. Give the journal entry to distribute General Reserve of ₹ 2,400 at the time of retirement of Z when 25% of General Reserve is to be transferred to Provision for Doubtful Debts. The firm has three partners X, Y and Z.

43. Alia, Karan and Shilpa were partners in a firm sharing profits in the ratio of 5:3:2. Goodwill appeared in their books at a value of ₹ 60,000 and General Reserve at ₹ 20,000. Karan decided to retire from the firm. On the date of his retirement, goodwill of the firm was valued at ₹ 2,40,000. The new profit-sharing ratio decided among Alia and Shilpa was 2:3. Record necessary Journal entries on Karan's retirement.

Preparation of the Capital Accounts and Balance Sheet

44. The Partnership Deed of C and D, who are equal partners, such that any partner may retire from the firm on the following terms by giving a six-month notice in writing:
The retiring partner shall be paid-
(a) the amount standing to the credit of his Capital Account and Current Account.
(b) his share of profits to the date of retirement, calculated on the basis of the average profit of the three preceding completed years.
(c) half the amount of the goodwill of the firm calculated at 1.5 times the average profit of the three preceding completed years.
C gave a notice on 31st March, 2023 to retire on 30th September, 2023, when the balance of his Capital Account was ₹ 6,000 and his Current Account (Dr.) ₹ 500. The profits for the three preceding completed years were: 31st March, 2021 ₹ 2,800; 31st March, 2022 ₹ 2,200 and 31st March, 2023 ₹ 1,600. What amount is due to C in accordance with the partnership agreement?
(Ans: Amount due to C: ₹ 7,700)

45. X, Y and Z were partners in a firm sharing profits in the ratio of 2:2:1. Their Balance Sheet as at 31st March, 2023 was:

Liabilities		**₹**	**Assets**	**₹**
Creditors		49,000	Cash	8,000
Reserve		18,500	Debtors	19,000
Capital A/cs:			Stock	42,000
X	82,000			
Y	60,000		Building	2,07,000
Z	75,500	2,17,500	Patents	9,000
		2,85,000		**2,85,000**

Y retired on 1st April, 2023 on the following terms:
(a) Goodwill of the firm was valued at ₹ 70,000 and was not to appear in the books.
(b) Bad Debts amounted to ₹ 2,000 were to be written off.
(c) Patents were considered as valueless.
Prepare Revaluation Account, Partners' Capital Accounts and Balance Sheet after Y's retirement.
(Ans: Loss on Revaluation: ₹ 11,000; X's Capital A/c: ₹ 66,333; Z's Capital A/c: ₹ 67,667; Y's Loan: ₹ 91,000; Balance Sheet Total: ₹ 2,74,000)

Commerce Wallah

46. The Balance Sheet of X, Y and Z who were sharing profits in proportion to their capitals stood as follows at 31st March, 2023:

Liabilities		₹	Assets		₹
Sundry Creditors		13,800	Cash at Bank		11,000
Capital A/cs:			Sundry Debtors	10,000	
X	45,000		Less: Provision	200	9,800
Y	30,000		Stock		16,000
Z	15,000	90,000	Plant and Machinery		17,000
			Land and Building		50,000
		1,03,800			**1,03,800**

Y retires on 1st April, 2023 and the following readjustments were agreed upon:
(a) Out of insurance which was debited to the Profit and Loss Account, ₹ 1,500 be carried forward as Unexpired Insurance.
(b) The Provision for Doubtful Debts be brought up to 5% of Debtors.
(c) The Land and Building be appreciated by 20%.
(d) A provision of ₹ 4,000 be made in respect of outstanding bills for repairs.
(e) The goodwill of the entire firm be fixed at ₹ 21,600.
Y's share of goodwill be adjusted to that of X and Z who are going to share in future profits in the ratio of 3:1.
Pass necessary Journal entries and give the Balance Sheet after Y's retirement.
(Ans: Profit on Revaluation: ₹ 7,200; Y's Loan: ₹ 39,600; Balance Sheet Total: ₹ 1,15,000)

47. A, B and C are partners in a firm, sharing profits and losses as A: 1/3, B: 1/2 and C: 1/6 respectively. The Balance Sheet of the firm as at 31st March, 2023 was:

Liabilities		₹	Assets		₹
Capital A/cs:			Factory Building		50,000
A	30,000		Plant and Machinery		40,000
B	40,000		Furniture		10,000
C	25,000	95,000	Stock		25,000
General Reserve		16,000	Debtors	18,000	
Sundry Creditors		25,000	Less: Provision for DD	500	17,500
Loan Payable		15,000	Cash in Hand		8,500
		1,51,000			**1,51,000**

C retires on 1st April, 2023 subject to the following adjustments:
(a) Goodwill of the firm be valued at ₹ 24,000. C's share of goodwill be adjusted into the accounts of A and B who are going to share in future in the ratio of 3:2.
(b) Plant and Machinery to be depreciated by 10% and Furniture by 5%.
(c) Stock to be appreciated by 15% and Factory Building by 10%.
(d) Provision for Doubtful Debts to be raised to ₹ 2,000.
You are required to pass Journal entries to record the above transactions in the books of the firm and show the Profit and Loss Adjustment Account, Capital Account of C and the Balance Sheet of the firm after C's retirement.
(Ans: Profit on Revaluation: ₹ 2,750; C's Loan: ₹ 32,125; Partners' Capital Accounts: A: ₹ 29,850; B: ₹ 51,775; Balance Sheet Total: ₹ 1,53,750)

48. X, Y and Z were partners in a firm sharing profits and losses in the ratio of 2:2:1. On 31st March, 2023, their Balance Sheet was:

Liabilities		₹	Assets	₹
Bills Payable		98,000	Cash	30,000
Sundry Creditors		1,02,000	Bills Receivable	9,000
Profit and Loss A/c		75,000	Debtors	21,000
Capital A/cs:			Stock	40,000
X	80,000		Furniture	80,000
Y	80,000		Plant and Machinery	1,20,000
Z	65,000	2,25,000	Building	2,00,000
		5,00,000		**5,00,000**

Online Wallah

On 1st April, 2023, X retired from the business. On X's retirement, the assets and liabilities were revalued as:

(a) Stock was depreciated by 10%, Furniture was depreciated by 20% and Plant and Machinery by 5%. Building was appreciated by 20%.

(b) The goodwill of the firm was valued at ₹ 60,000. X was to be paid ₹ 19,600 in cash on retirement and the balance in three equal instalments.

Prepare Revaluation Account, Partners' Capital Accounts, X's Loan Account and the Balance Sheet as at 1st April 2023.

(Ans: Profit on Revaluation: ₹ 14,000; X's Loan: ₹ 1,20,000; Partners' Capital Accounts: Y: ₹ 99,600; Z: ₹ 74,800; Balance Sheet Total: ₹ 4,94,400)

49. The Balance Sheet of X, Y and Z sharing profits and losses in the ratio of 5:3:2 on 31st December, 2023 is given below:

Liabilities	**₹**	**Assets**		**₹**
Sundry Creditors	12,000	Goodwill		10,000
Employees' Provident Fund	6,000	Patents		52,000
Investment. F. Reserve	7,000	Machinery		62,400
Workmen Comp. Reserve	7,000	Investments		6,000
X's Capital	1,35,000	Stock		20,000
Y's Capital	95,000	Sundry Debtors	24,000	
Z's Capital	74,000	Less: Provision	4,000	20,000
		Loan to Z		1,000
		Cash at Bank		600
		Advertisement Expenditure		2,000
		Profits Loss A/C (2019)		1,50,000
		Z's Drawings		12,000
	3,36,000			**3,36,000**

Z retires from 1st Jan, 2024; X and Y decide to share future profits losses in the ratio of 3:5. It was agreed that:

(a) Goodwill be valued at 2-1/2 years' purchase of average of four completed years' profits which were: 2020 - ₹ 2,02,000; 2021 - ₹ 28,000; 2022 - ₹ 32,000.

(b) Patents undervalued by ₹ 14,000, Machinery overvalued by ₹ 13,600, All Debtors are good. ₹ 1,000 included in Sundry Creditors is not likely to arise. Unaccounted Accrued Income of ₹ 2,200 to be provided for. A debtor whose dues of ₹ 400 were written off as bad debts paid 50% in full settlement. A claim of ₹ 1,000 on account of workmen's compensation to be provided for.

(c) Investments be sold for ₹ 8,200 and a sum of ₹ 11,200 be paid to Z immediately. The remainder to be paid in four equal half-yearly installments together with interest @ 10% p.a. at half-yearly rest.

Prepare Revaluation Account, Capital Account of Partners and the Balance Sheet of New Firm.

(Ans: Profit on Revaluation: ₹ 10,000, X sacrifices 5/40, Y gains 13/40, Capital A/c Balances: X: ₹ 74,250, Y: ₹ 30,550, Z's Loan: ₹ 36,000, B/S Total: ₹ 1,61,000)

50. P, Q and R were partners sharing profits and losses in the ratio of 4:3:3. The Balance Sheet of the firm as at 31st March, 2023 stood as:

Liabilities		**₹**	**Assets**	**₹**
Creditors		10,000	Cash and Bank	20,000
Employees' Provident Fund		20,000	Debtors	15,000
Reserves		10,000	Stock	17,000
Workmen Comp. Reserve		10,000	Fixed Assets	52,000
Capital A/c's:			Drawings: R	6,000
P	30,000			
Q	15,000			
R	15,000	60,000		
		1,10,000		**1,10,000**

R retired on the above date on the following terms and conditions:

(a) Fixed Assets are to be depreciated by ₹ 2,000 and ₹ 1,000 Provision for Doubtful Debts is to be created.

(b) A liability of ₹ 4,000 for Workmen Compensation is to be created.

Commerce Wallah

(c) Goodwill of the firm is valued at ₹ 50,000 and adjustment for goodwill is to be done without opening the Goodwill Account.
(d) New profit-sharing ratio of P and Q is 2:1.
(e) Final balance payable to R be treated as loan carrying interest @10% p.a.
(f) Final balance of R is to be settled in three equal annual installments plus interest and first installment is payable on 31st March, 2024.

Pass Journal entries relating to R's retirement. Also, show Balance Sheet of P and Q as at 1st April, 2023 and R's Loan Account for the years 2024, 2025 and 2026.

(Ans: Loss on Revaluation: ₹ 3,000; R's Loan: ₹ 27,900; P's Capital: ₹ 21,867; Q's Capital: ₹ 17,233; Balance Sheet Total: ₹ 1,01,000)

51. X, Y and Z are partners sharing profits and losses in the ratio of 3:2:1. The Balance Sheet of the firm as at 31st March, 2023 stood as follows:

Liabilities		**₹**	**Assets**		**₹**
Creditors		21,000	Cash at Bank		5,750
Workmen Comp. Reserve		12,000	Debtors	40,000	
Investment. F. Reserve		6,000	Less: Provision for DD	2,000	38,000
Capital A/cs:			Stock		30,000
X	68,000		Investment (M. V - ₹ 17,600)		15,000
Y	32,000		Patents		10,000
Z	21,000	1,21,000	Machinery		50,000
			Goodwill		6,000
			Advertisement Expenditure		5,250
		1,60,000			**1,60,000**

Z retired on the above date on the following terms:
(a) Goodwill of the firm is to be valued at ₹ 34,800.
(b) Value of Patents is to be reduced by 20% and that of machinery to 90%.
(c) Provision for doubtful debts is to be created @ 6% on debtors.
(d) Z took over the investment at market value.
(e) Liability for Workmen Compensation to the extent of ₹ 750 is to be created.
(f) A liability of ₹ 4,000 included in creditors is not likely to be paid.
(g) Amount due to Z to be settled on the following basis: ₹ 5,067 to be paid immediately, 50% of the balance within one year and the balance by a Bill of Exchange (without interest) at 3 Months.

Give necessary Journal entries for the treatment of goodwill, prepare Revaluation Account, Capital Accounts and the Balance Sheet of the new firm.

(Ans: Loss on Revaluation: ₹ 800; Partners' Capital Accounts: X: ₹ 67,120; and Y: ₹ 31,413; Z's Loan: ₹ 2,500 Balance Sheet Total: ₹ 1,21,283)

Adjustment of Capitals

52. X, Y and Z are partners in a firm sharing profits in the ratio of 3:2:1. On 1st April, 2023, Y retires from the firm. X and Z agree that the capital of the new firm shall be fixed at ₹ 2,10,000; to be in the new profit-sharing ratio. The Capital Accounts of X and Z after all adjustments on the date of retirement of Y showed balance of ₹ 1,45,000 and ₹ 63,000 respectively. State the amount of actual cash to be brought in or to be paid to the partners.

(Ans: New Capitals: X: ₹ 1,57,500; Z: ₹ 52,500; Cash brought in by X: ₹ 12,500; Cash withdrawn by Z: ₹ 10,500)

53. A, B and C were partners sharing profits and losses in the ratio of 4:3:2 respectively. B retired on 31st March, 2023 on which date the capitals of A, B and C after all necessary adjustments stood at ₹ 1,31,600, ₹ 1,14,450 and ₹ 67,600 respectively. The entire capital of the reconstituted firm will be re-adjusted by bringing in or paying off cash so that the future capital of A & C is in their future profit-sharing ratio. Calculate the amount of cash to be paid off or to be brought in by the continuing partners and pass the necessary journal entries.

(Ans: A will bring in ₹ 1,200 and C will withdraw ₹ 1,200)

Commerce Wallah

54. Tom, David and Harry are partners sharing profits in the ratio of 5:3:7. Tom retires from the firm. David and Harry decided to share future profits in the ratio of 2:3. The adjusted capital accounts of David and Harry showed the balances of ₹ 19,800 and ₹ 42,300 respectively. The total amount to be paid to Tom is ₹ 54,300. This amount is to be paid by David and Harry in such a way that their capitals become proportionate to their new profit-sharing ratio. State the amount of actual cash to be brought in or to be paid to the partners.
(Ans: David brings in ₹ 26,760 and Harry brings in ₹ 27,540)

55. A, B and C were partners sharing profits and losses in the ratio of 5:3:2 respectively. B retired on which date the Capitals of A, B and C after all necessary adjustments stood at ₹ 86,400, ₹ 73,200 and ₹ 22,400 respectively. The Cash and Bank Balance on that date amounted to ₹ 8,000. B was to be paid through cash brought in by A and C in such a way as to make their capitals proportionate to their new profit-sharing ratio which was to be A-3/5th and C-2/5th. Calculate the amount of Cash to be paid off or to be brought in by the continuing partners assuming that a minimum Cash & Bank Balance of ₹ 6,000 was to be maintained and pass the necessary journal entries.
(Ans: A and B will bring in ₹ 21,600 and ₹ 49,600 respectively)

56. X, Y and Z were in partnership sharing profits and losses equally. Y retires from the firm. After adjustments, his Capital Account shows a credit balance of ₹ 60,000 as on 1st April, 2023. The balance due to Y is to be paid in three equal installments annually together with interest @ 5% p.a. Prepare Y's Loan Account until he is paid the entire amount due to him. The firm closes its books on 31st March every year.
(Ans: Installments: ₹ 20,000 each, Interest I: ₹ 3,000, II: ₹ 2,000, III: ₹ 1,000)

57. A, B and C are in partnership sharing profits and of 5:3:2 respectively. A retires from the firm as on 1st January, 2023 when his Capital Account shows a net credit balance of ₹ 1,64,200 after the necessary adjustments. A is to be paid ₹ 44,200 in cash immediately on retirement and the balance in three equal annual installments together with interest @ 5% p.a. on diminishing balance Show the necessary ledger accounts.
(Ans: Installments: ₹ 40,000 each, Interest I: ₹ 6,000, II: ₹ 4,000, III: ₹ 2,000)

58. P, Q and R were in partnership sharing profits and losses in the ratio of 2:3:1. Q retires from the firm. After all the necessary adjustments, his Capital Account shows a net credit balance of ₹ 2,20,000 as on 1st April, 2023. Q is to be paid ₹ 60,000 by cheque immediately and balance in four equal semi-annual installments together with interest @ 10% p.a. on the unpaid amount. Prepare Q's Loan Account until he is paid the entire amount due to him. The firm closes its books on 31st March every year.
(Ans: Installments: ₹ 40,000 each, Interest I: ₹ 8,000, II: ₹ 6,000, III: ₹ 4,000, IV: ₹ 2,000)

59. A, B and C are in partnership sharing profits and of 5:3:2 respectively. A retires from the firm as on 1st January, 2023 when his Capital Account shows a net credit balance of ₹ 1,64,200 after the necessary adjustments. A is to be paid ₹ 44,200 in cash immediately on retirement and the balance in three equal annual installments of Rs. 44,068 each (including interest @ 5% p.a.). Show the necessary ledger accounts.
(Ans: Interest: I: ₹ 6,000, II: ₹ 4,096, III: ₹ 2,108)

60. Akshay, Vinay and Sumit were partners sharing profits in the ratio of 3:2:1. On 1st April, 2023 Vinay retired. On that date Balance Sheet was:

Liabilities		**₹**	**Assets**	**₹**
General Reserve		6,000	Plant	30,000
Expenses Outstanding		2,000	Patents	3,000
Bills Payable		5,000	Debtors	9,500
Creditors		10,000	Stock	11,000
Capital A/cs:			Cash	500
Akshay	12,000			
Vinay	10,000			
Sumit	9,000	31,000		
		54,000		**54,000**

Commerce Wallah

The terms were:
(a) Goodwill of the firm be valued at ₹ 12,000 and Vinay's share of goodwill be adjusted in the accounts of Akshay and Sumit who will share the future profits and losses in the ratio of 3:2.
(b) Expenses outstanding are to be brought down to ₹ 1,500; Plant is to be valued at 10% less and Patents at ₹ 4,000.
(c) Total capital of the new firm will be fixed at ₹ 25,000 to be contributed by partners in profit-sharing ratio.

Prepare Ledger Accounts to record the above transactions and the Balance Sheet after Vinay's retirement.

(Ans: Loss on Revaluation: ₹ 1,500; Vinay's Loan: ₹ 15,500; Capitals: Akshay: ₹ 15,000; Sumit: ₹ 10,000; Cash: ₹ 1,950 paid by Akshay and ₹ 3,050 by Sumit; Balance Sheet Total: ₹ 57,000)

61. On 31st March, 2023, the Balance Sheet of A, B and C who were sharing profits and losses in proportion to their capitals stood as:

Liabilities		**₹**	**Assets**		**₹**
Creditors		10,800	Cash at Bank		13,000
Bills Payable		5,000	Debtors	10,000	
Capital A/cs:			Less: Provision for DD	200	9,800
A	45,000		Stock		9,000
B	30,000		Machinery		24,000
C	15,000	90,000	Freehold Premises		50,000
		1,05,800			**1,05,800**

B retires and following adjustments of assets and liabilities have been agreed upon before ascertainment of the amount payable to B:
(a) That out of the amount of insurance which was debited entirely to Profit and Loss Account, ₹ 1,000 be carried forward for Unexpired Insurance.
(b) Freehold Premises be appreciated by 10%.
(c) Provision for Doubtful Debts to be brought up to 5% on Debtors.
(d) Machinery to be depreciated by 5%.
(e) Liability for Workmen Compensation to the extent of ₹ 1,500 would be created.
(f) That the goodwill of the entire firm be fixed at ₹ 18,000 and B's share of the same be adjusted into the accounts of A and C who are going to share future profits in the proportion of 3/4th and 1/4th respectively.
(g) Entire capital of the firm as newly constituted be fixed at ₹ 60,000 between A and C in the proportion of 3/4th and 1/4th after passing entries in their accounts for adjustments, i.e., actual cash to be paid or to be brought in by continuing partners as the case may be.
(h) B be paid ₹ 5,000 in cash and the balance be transferred to his Loan Account.

Prepare Capital Accounts of Partners and the Balance Sheet of the firm of A and C.

(Ans: Profit on Revaluation: ₹ 3,000; B's Loan: ₹ 32,000; Partners' Capital Accounts: A: ₹ 45,000; C: ₹ 15,000; Cash brought in by A: ₹ 3,000; C: ₹ 1,000; Balance Sheet Total: ₹ 1,09,300)

62. X, Y and Z are partners in a firm sharing profits in the ratio of 3:1:2. On 31st March, 2023, their Balance Sheet was:

Liabilities		**₹**	**Assets**		**₹**
Bills Payable		12,000	Freehold Premises		40,000
Sundry Creditors		28,000	Machinery		30,000
General Reserve		12,000	Furniture		12,000
Capital A/cs:			Stock		22,000
X	30,000		Sundry Debtors	20,000	
Y	20,000		Less: Provision for DD	1,000	19,000
Z	28,000	78,000	Cash		7,000
		1,30,000			**1,30,000**

Z retires from the business and the partners agree to the following:
(a) Freehold premises and Stock are to be appreciated by 20% and 15% respectively.
(b) Machinery and Furniture are to be depreciated by 10% and 7% respectively.
(c) Provision for Doubtful Debts is to be increased to ₹ 1,500.

Commerce Wallah

(d) Goodwill of the firm is valued at ₹ 21,000 on Z's retirement.
(e) The continuing partners have decided to adjust their capitals in their new profit-sharing ratio after retirement of Z. Surplus/deficit, if any, in their Capital Accounts will be adjusted through Current Accounts.

Prepare necessary Ledger Accounts and draw the Balance Sheet of the reconstituted firm.
(Ans: Profit on Revaluation: ₹ 6,960; Z's Loan A/c: ₹ 41,320; Capital Accounts: X: ₹ 41,730; Y: ₹ 13,910; X's Current A/c (Debit): ₹ 7,500; Y's Current A/c (Credit): ₹ 7,500; Balance Sheet Total: ₹ 1,44,460)

63. A, B and C are partners in a firm sharing profits and losses in the ratio of 3:2:1. Their Balance Sheet as at 31st March, 2023 is:

Liabilities		**₹**	**Assets**		**₹**
Creditors		30,000	Cash in Hand		18,000
Bills Payable		16,000	Debtors	25,000	
General Reserve		12,000	Less: Provision for DD	3,000	22,000
Capital A/cs:			Stock		18,000
A	40,000		Furniture		30,000
B	40,000		Machinery		70,000
C	30,000	1,10,000	Goodwill		10,000
		1,68,000			**1,68,000**

B retires on 1st April, 2023 on the following terms:
(a) Provision for Doubtful Debts be raised by ₹ 1,000.
(b) Stock to be depreciated by 10% and Furniture by 5%.
(c) There is an outstanding claim of damages of ₹ 1,100 and it is to be provided for.
(d) Creditors will be written back by ₹ 6,000.
(e) Goodwill of the firm is valued at ₹ 22,000.
(f) B is paid in full with the cash brought in by A and C in such a manner that their capitals are in proportion to their profit-sharing ratio and Cash in Hand remains at ₹ 10,000.

Prepare Revaluation Account, Partners' Capital Accounts and the Balance Sheet of A and C.
(Ans: Profit on Revaluation: ₹ 600; Balance of Capital A/c's after adjustments: A: ₹ 35,800; B: ₹ 48,200; C: ₹ 28,600; Capital A/c's Rearranged: A: ₹ 78,450; C: ₹ 26,150; Cash brought in by A: ₹ 42,650; Cash withdrawn by C: ₹ 2,450; Balance Sheet Total: ₹ 1,45,700)

64. Following is the Balance Sheet of Kusum, Sneh and Usha as on 31st March, 2023, who have agreed to share profits and losses in proportion of their capitals:

Liabilities		**₹**	**Assets**		**₹**
Capital A/cs:			Land and Building		4,00,000
Kusum	4,00,000		Machinery		6,00,000
Sneh	6,00,000		Closing Stock		2,00,000
Usha	4,00,000	14,00,000	Sundry Debtors	2,20,000	
Employees' P. Fund		70,000	Less: Provision for DD	20,000	2,00,000
Workmen Comp. Reserve		30,000	Cash at Bank		2,00,000
Sundry Creditors		1,00,000			
		16,00,000			**16,00,000**

On 31st March, 2023, Kusum desired to retire from the firm and the remaining partners decided to carry on the business. It was agreed to revalue the assets and reassess the liabilities on that date, on the following basis:
(a) Land and Building be appreciated by 30%.
(b) Machinery be depreciated by 30%.
(c) There were Bad Debts of ₹ 35,000.
(d) The claim on account of Workmen Compensation Reserve was estimated at ₹ 15,000.
(e) Goodwill of the firm was valued at ₹ 2,80,000 and Kusum's share of goodwill was adjusted against the Capital Accounts of the continuing partners Sneh and Usha who have decided to share future profits in the ratio of 3:4 respectively.
(f) Capital of the new firm in total will be the same as before the retirement of Kusum and will be in the new profit-sharing ratio of the continuing partners.

Commerce Wallah

(g) Amount due to Kusum be settled by paying ₹ 1,00,000 in cash and balance by transferring to her Loan Account which will be paid later on.

Prepare Revaluation Account, Capital Accounts of Partners and Balance Sheet of the new firm after Kusum's retirement.

(Ans: Loss on Revaluation: ₹ 75,000; Kusum's Loan: ₹ 3,62,857; Capital Accounts: Sneh: ₹ 6,00,000; Usha: ₹ 8,00,000; Balance Sheet Total: ₹ 19,47,857; Cash at Bank: ₹ 6,22,857)

65. The Balance Sheet of X, Y and Z who were sharing profits in the ratio of 5:3:2 as at 31st March, 2023 is as follows:

Liabilities		**₹**	**Assets**	**₹**
Creditors		50,000	Cash at Bank	40,000
Employees' Provident Fund		10,000	Sundry Debtors	1,00,000
Profit and Loss		85,000	Stock	80,000
Capital A/cs:			Fixed Assets	60,000
X	40,000			
Y	62,000			
Z	33,000	1,35,000		
		2,80,000		**2,80,000**

X retired on 31st March, 2023 and Y and Z decided to share profits in future in the ratio of 3:2 respectively. The other terms on retirement were:

(a) Goodwill of the firm is to be valued at ₹ 80,000.
(b) Fixed Assets are to be depreciated to ₹ 57,500.
(c) Make a Provision for Doubtful Debts at 5% on Debtors.
(d) A liability for claim, included in Creditors for ₹ 10,000, is settled at ₹ 8,000.
(e) The amount to be paid to X by Y and Z in such a way that their Capitals are proportionate to their profit-sharing ratio and leave a balance of ₹ 15,000 in the Bank Account.

Prepare Profit and Loss Adjustment Account and Partners' Capital Accounts.

(Ans: Loss on Revaluation: ₹ 5,500; Payment to X: ₹ 1,19,750; Partners' Capital Accounts: Y: ₹ 1,18,500; Z: ₹ 79,000)

66. Pink, Purple and Blue were partners sharing profit and losses a 2/5, 2/5, 1/5 respectively. Below is given their Balance Sheet as on 31st December 2023.

Liabilities		**₹**	**Assets**	**₹**
Bills Payable		20,000	Cash	25,000
Bank Loan		60,000	Debtors	60,000
Profit and Loss A/c		30,000	Stock	65,000
Capitals:			Machinery	75,000
Pink	70,000		Typewriter	15,000
Purple	30,000		Goodwill	20,000
Blue	50,000	1,50,000		
		2,60,000		**2,60,000**

Blue retires on that date and the following adjustments of the assets and liabilities have been made before the ascertainment of the amount payable by the firm to Blue:

(a) That the Stock to be decreased by 5%.
(b) That a Provision for Doubtful Debts to be maintained @ 5% on Debtors.
(c) That the Machinery be appreciated by 20%.
(d) That a Provision of ₹ 7,500 be made in Outstanding Legal Charges.
(e) That the goodwill of the firm is valued at ₹ 16,200.
(f) That Pink and Purple decide to share future profits of the firm in equal proportion.
(g) That the entire capital of the new firm is fixed at ₹ 1,00,000 between Pink and Purple in equal proportion. For this purpose, actual cash is to be brought in or paid off.

You are required to prepare the Revaluation Account, Partners' Capital Accounts, Cash Account and revised Balance Sheet after Blue's retirement. Also indicate the gaining ratio.

(Ans: Revaluation Profit: ₹ 1,250; Capitals: Pink: ₹ 50,000 and Purple: ₹ 50,000; Total of Balance Sheet: ₹ 2,42,990)

Commerce Wallah

67. The Balance Sheet of A, B and C, who were sharing profits in proportion to their capital, stood as follows on 31st December 2023:

Liabilities		₹	Assets		₹
Creditors		27,600	Cash at Bank		22,000
Capital Accounts:			Debtors	20,000	
A	80,000		Less: Provision	400	19,600
B	60,000		Stock		32,000
C	40,000	1,80,000	Machinery		34,000
			Buildings		1,00,000
		2,07,600			**2,07,600**

B retired on the above date and the following was agreed upon:
(a) That Stock be depreciated by 6%.
(b) That Provision for Doubtful Debts to be brought up to 5% on Debtors.
(c) That Buildings be appreciated by 20%.
(d) That a provision of ₹ 3,080 be made in respect of Outstanding Legal Charges.
(e) That the Goodwill of the entire firm be valued at ₹ 43,200 and B's share of it be adjusted into the accounts of A and C who are going to share future profits in the ratio of 5 : 3.
(f) That the entire capital of the firm as newly constituted to be fixed at ₹ 1,12,000 between A and C in the ratio of 5 : 3 (actual cash to be brought in or paid off as the case may be).

You are required to prepare the Revaluation account, the Capital accounts of the partners and the Balance Sheet of the firm after B's retirement.
(Ans: Profit on Revaluation: ₹ 14,400; Capitals: A: ₹ 70,000 and C: ₹ 42,000; Total of Balance Sheet: ₹ 2,21,880)

DEATH OF A PARTNER

Calculation of Profits of a Deceased Partner

68. A, B and C were partners sharing profits and losses in the ratio of 2:2:1. C died on 31st March, 2023. Profits and Sales for the calendar year 2022 were ₹ 1,00,000 and ₹ 10,00,000 respectively. Sales during January to March 2023 were ₹ 1,50,000. You are required to calculate share of profit of C up to the date of death.
(Ans: NP Ratio: 10%, Profit for the period January to March 2019: ₹ 15,000; C's Share of Profit: ₹ 3,000)

69. A, B and C are partners sharing profits and losses in the ratio of 3:2:1. B died on 31st March, 2023. For the year 2023, proportionate profit of 2022 is to be taken into consideration. For the year 2022, a bad debt of ₹ 2,000 had to be adjusted. The profit for the year 2022 was ₹ 14,000 before adjustment of bad debts. Calculate B's share of profit till his death.
(Ans: B's Share of Profit: ₹ 1,000)

70. A, B and C were partners sharing profits & losses in the ratio of 3:2:1 respectively. A died on 31st March, 2023. The partnership deed provided that the share of profit till the date of death be estimated at the sum calculated on the average of the last three completed years' profits. The book showed the profits for the calendar years as : I: ₹ 10,000; II: ₹ 10,000; III: ₹ 16,000; IV: ₹ 15,200 & V: ₹ 18,000. Calculate his share of profit during the accounting year 2023.
(Ans: Share of Profits: ₹ 2,050)

71. From the following information, estimate share of the deceased partner in profits from the accounting date till the date of death:
Sales for the year 2022: ₹ 4,00,000; Profit for the year 2022: ₹ 80,000; Date of death 01.04.2023; Sales from 01.01.2023 to 31.03.2023: ₹ 70,000; Share of deceased partner: 2/5.
(Ans: NP Ratio: 20%; Profit for the relevant period: ₹ 14,000; Share of the deceased partner: ₹ 5,600)

72. Kumar, Verma and Naresh were partners in a firm sharing Profit and Loss in the ratio of 3:2:2. On 23rd January, 2023 Verma died. Verma's share of profit till the date of his death was calculated at ₹ 2,350. Pass necessary Journal entry for the same in the books of the firm.
(Ans: Dr. Profit and Loss Suspense A/c and Cr. Verma's Capital A/c by ₹ 2,350)

Commerce Wallah

73. A, B and C were partners sharing profits & losses in the ratio of 3:2:1 respectively. A died on 31st March, 2023. The partnership deed provided that the share of profit till the date of death be estimated at the sum calculated on the sales till the date of death by applying the ratio of Net Profit to Sales for the last accounting year. Sales from 01.01.2023 to 31.03.2023 amounted to ₹ 60,000. Sales and Net Profit for the year 2022 amounted to ₹ 7,20,000 and ₹ 1,08,000 respectively. Calculate his share of profit during the accounting year 2023.
(Ans: Share of Profit: ₹ 4,500)

74. A, B and C were partners sharing profits & losses in the ratio of 3:2:1 respectively. B died on 31st March, 2023. The profits from 01.01.2023 to 31.03.2023 amounted to ₹ 9,000. A and C decided to share the future profits in the ratio of 3:2 respectively with effect from 01.04.2023. Pass the necessary journal entry to record the B's share of profit to the date of death.
(Ans: Dr. P & L Suspense A/c with ₹ 3,000 & Cr. B's A/c with ₹ 3,000)

75. D, P and G were partners in a firm sharing profits and losses in the ratio of 5:3:2. P died on 31st May, 2023. His share of profit from the closure of the last accounting year till the date of death, was to be calculated on the basis of the average of three completed years of profits before death. Profits for the years ended 31st December 2020, 2021 and 2022 were ₹ 17,000; ₹ 15,000 and ₹ 13,000 respectively. Calculate P's share of profit till his death and pass the necessary Journal entry for the same.
(Ans: P's Share of Profit: ₹ 1,875)

76. Ram, Manohar and Joshi were partners in a firm. Joshi died on 31st May, 2023. His share of profit from the closure of the last accounting year till the date of death was to be calculated on the basis of the average of three completed years of profits before death. Profits for the years ended 31st March, 2022, 2022 and 2023 were ₹ 7,000; ₹ 8,000 and ₹ 9,000 respectively. Calculate Joshi's share of profit till his death and pass necessary Journal entry for the same.
(Ans: Joshi's Share of Profit for 2 months: ₹ 444 Approx.)

Deceased Partner's Share of Goodwill

77. P, R and S are in partnership sharing profits 4/8, 3/8 and 1/8 respectively. It is provided in the Partnership Deed that on the death of any partner his share of goodwill is to be valued at one-half of the net profit credited to his account during the last four completed years.
R died on 1st January, 2023. The firm's profits for the last four years were as:
2019: ₹ 1,20,000; 2020: ₹ 80,000; 2021: ₹ 40,000; 2022: ₹ 80,000.
Determine the amount that should be credited to R in respect of his share of Goodwill and Pass Journal entry without raising Goodwill Account for its adjustment.
(Ans: Debit P by ₹ 48,000 and S by ₹ 12,000; Credit R by ₹ 60,000)

78. A, B and C are in partnership sharing profits in the ratio of 4:3:1. B died on 30th June 2023. The firm's profits for various years were 2017 (Profits ₹ 12,97,776), 2018 (Profits ₹ 3,20,000), 2019 (Profits ₹ 40,000), 2020 (Losses ₹ 40,000), 2021 (Profits ₹ 1,60,000), 2022 (Profits ₹ 2,00,000). A and C decided to share future profits in the ratio of 3:2. Goodwill is to be valued on the basis of such partner's share of 2 years' profits calculated on the average of 5 completed years' profits immediately preceding the year of death less 10%. Pass a Journal Entry to record B's share of Goodwill.
(Ans: B's Share of Goodwill: ₹ 91,800, Gaining Ratio: 4:11)

79. X, Y and Z were partners in a firm sharing profit in 3:2:1 ratio. The firm closes its books on 31st March every year, Y died on 30th June, 2023. On Y's death the goodwill of the firm was valued at ₹ 60,000. Y"s share in the profits of the firm till the time of his death was to be calculated on the basis of previous year's profit which was ₹ 1,50,000.
Pass necessary Journal entries for the treatment of goodwill and Y's share of profit at the time of his death.
(Ans: Gaining Ratio: 3:1; Y's Share of Goodwill: ₹ 20,000; Y's Share of Profit: ₹ 12,500)

Chandresh Walia

Calculation of Amount Payable to Executors of a Deceased Partner

80. X and Y are partners. The Partnership Deed provides inter alia:
(a) That the Accounts be balanced on 31st March every year.
(b) That the profits be divided as: X one-half, Y one-third and carried to a Reserve one-sixth.
(c) That in the event of the death of a partner, his Executors be entitled to be paid out:
I. The Capital to his credit till the date of death.
II. His proportion of profits till the date of death based on the average profits of the last three completed years.
III. By way of Goodwill, his proportion of the total profits for the three preceding years.
(d) BALANCE SHEET as at 31st March, 2023

Liabilities		**₹**	**Assets**	**₹**
Capital A/cs:			Sundry Assets	21,000
X	9,000			
Y	6,000	15,000		
Reserve		3,000		
Creditors		3,000		
		21,000		**21,000**

The Profits for three years were: 2020-21: ₹ 4,200; 2021-22: ₹ 3,900; 2022-23: ₹ 4,500. Y died on 1st August, 2023. Prepare necessary accounts.
(Ans: Amount due to Y's Executors: ₹ 12,800)

81. Aman and Raman are in partnership sharing profits and losses 3:2. Raman died three months after the date of the last Balance Sheet. According to the Partnership Deed, the legal personal representatives of Raman are entitled to the following payments:
His capital as per the last Balance Sheet.
Interest on above capital @ 3% p.a. till the date of death.
His share of profits till the date of death calculated on the basis of last year's profits.
His drawings are to bear interest at an average rate of 2% on the amount irrespective of the period.
The net profits for the last three years, after charging insurance premium, were ₹ 20,000; ₹ 25,000 and ₹ 30,000 respectively. Raman's capital as per Balance Sheet was ₹ 40,000 and his drawings till the date of death were ₹ 5,000. Draw Raman's Account to be rendered to his representatives.
(Ans: Balance due: ₹ 38,200)

82. P, Q and R were partners in a firm sharing profits in 2:2:1 ratio. The Partnership Deed provided that on the death of a partner his executors will be entitled to the following:
Interest on Capital @ 12% p.a.
Interest on Drawings @ 18% p.a.
Salary of ₹ 12,000 p.a.
Share in the profit of the firm (up to the date of death) on the basis of previous year's profit.
P died on 31st May, 2023. His capital was ₹ 80,000. He had withdrawn ₹ 15,000 and interest on his drawings was calculated as ₹ 1,200. Profit of the firm for the previous year ended 31st March, 2023 was ₹ 30,000.
Prepare P's Capital Account to be rendered to his executors.
(Ans: P's Executors' A/c: ₹ 69,400; P's Share of Profit: ₹ 2,000)

83. Sachin, Saurav and Ruchi were partners in a firm sharing profits in the ratio of 2:2:1. The firm closes its books on 31st March every year. On 30th September, 2023 Ruchi died. According to the provisions of Partnership Deed the legal representatives of a deceased partner are entitled for the following in the event of his/her death:
(a) Capital as per the last Balance Sheet.
(b) Interest on capital at 6% per annum till the date of her death.
(c) Her share of profit to the date of death calculated on the basis of average profit of last four years.
(d) Her share of goodwill to be determined on the basis of three years' purchase of the average profit of last four years. The profits of last four years were:

Year	**2019-20**	**2020-21**	**2021-22**	**2022-23**
Profit (₹)	30,000	50,000	40,000	60,000

Commerce Wallah

The balance in Ruchi's Capital Account on 31st March, 2023 was ₹ 60,000 and she had withdrawn ₹ 10,000 till date of her death. Interest on her drawings was ₹ 300.
Prepare Ruchi's Capital Account to be presented to her executors.
(Ans: Amount due to Ruchi's Executors: ₹ 83,000; Interest on Capital: ₹ 1,800; Ruchi's Share of Profit: ₹ 4,500; Ruchi's Share of Goodwill: ₹ 27,000 which is contributed by Sachin and Saurav equally)

84. In the partnership agreement between A, B and C who were sharing profits & losses in the ratio of 4:2:2, the goodwill was to be valued on the death of any partner on the basis of such partner's share of 4 years' profits calculated on the average of 5 years profits immediately preceding the year of death less 10%. The firm's profits were ₹ 12,000 in 2018, ₹ 36,000 in 2019, ₹ 48,000 in 2020, losses of ₹ 6,000 in 2021 and ₹ 2,400 in 2022. The deceased partner's share of profits for the period of his lifetime in the year of death was to be based on the average of profits of the previous 3 years plus 10%.
A died on 31st May, 2023. His Capital Account showed a credit of ₹ 12,000 on 1st Jan, 2023 and he had drawn ₹ 1,800 since that date. Interest on Capital is to be allowed and interest on drawings is to be charged @ 5% irrespective of the period. Prepare A's Capital Account and A's Executor's A/c.
(Ans: Deceased Partner's Share: Goodwill: ₹ 15,768, Profits: ₹ 3,025, Interest on Capital: ₹ 600, Interest on Drawings: ₹ 90, Total Amount Due: ₹ 29,503)

85. A, B and C carried on business in partnership, sharing profits and losses in the proportion of 3:2:1. Their capitals as per the Balance Sheet as at 31st March, 2023 were A: ₹ 30,000; B: ₹ 20,000; C: ₹ 15,000. On 31st December, 2023; C died. You are instructed to prepare an account for presentation to his executors, having regard to the following facts:
(a) Capital carried interest at 12% p.a.
(b) C's Drawings from 1st April, 2023 to the date of his death amounting to ₹ 4,500.
(c) C's share of profits for the portion of the current financial year for which he lived was to be taken at the sum calculated on the average of the last three completed years.
(d) Goodwill of the firm be valued on the basis of two years' purchase of the average profit of last three completed years.

The annual profits of last three completed years were ₹ 17,500; ₹ 16,000 and ₹ 19,000 respectively.
Pass necessary Journal entries and show the account of the executors of C.
(Ans: Amount due to C's Executors: ₹ 19,870 including ₹ 5,833 for goodwill and ₹ 2,187 for profit)

86. Babita, Chetan and David are partners in a firm sharing profits in the ratio of 2:1:1 respectively. Firm closes its accounts on 31st March every year. Chetan died on 30th September, 2023. There was a balance of ₹ 1,25,000 in Chetan's Capital Account in the beginning of the year. In the event of death of any partner, the Partnership Deed provides for the following:
(a) Interest on capital will be calculated at the rate of 6% p.a.
(b) The executor of deceased partner shall be paid ₹ 24,000 for his share of goodwill.
(c) His share of Reserve Fund of ₹ 12,000, shall be paid to his executor.
(d) His share of profit till the date of death will be calculated on the basis of sales. It is also specified that the sales during the year 2022-23 were ₹ 4,00,000. The sales from 1st April, 2023 to 30th September, 2023 were ₹ 1,20,000. The profit of the firm for the year ending 31st March, 2023 was ₹ 2,00,000.

Prepare Chetan's Capital Account to be presented to his executor.
(Ans: Transferred to Chetan's Executor's Account: ₹ 1,79,750; Share of Chetan in current year's profit: ₹ 15,000)

87. Sita, Gita and Rita are partners in firm sharing profits in the ratio of 1:1:3 respectively. Their Capital Accounts showed the following balances on 31.03.2023: Sita ₹ 70,000; Gita ₹ 65,000 and Rita ₹ 2,10,000. Firm closes its accounts every year on 31st March. Sita died on 30th September, 2019. In the event of death of any partner, the Partnership Deed provides for the following:
(a) Interest on capital will be calculated at the rate of 6% p.a.
(b) The deceased partner's share in the goodwill of the firm will be calculated on the basis of 2 years' purchase of the average profit of last three years. The profits of the firm for the last three years were ₹ 90,000; ₹ 1,00,000 and ₹ 1,10,000 respectively.
(c) Her share in the Reserve Fund of the firm will be paid. The Reserve Fund of the firm was ₹ 60,000 at the time of Sita's death.
(d) Her share of profit till the date of death will be calculated on the basis of sales. It is also specified that the sales during the year 2022-23 were ₹ 20,00,000. The sales from 1st April, 2023 to 30th

September, 2023 were ₹ 4,00,000. The profit of the firm for the year ending 31st March, 2023 was ₹ 2,00,000.

Prepare Sita's Capital Account to be presented to his legal representative.

(Ans: Transferred to Sita's Executors Account: ₹ 1,32,100; Sita's Share in goodwill: ₹ 40,000, which is contributed by Gita and Rita in their gaining ratio, i.e., 1:3; Sita's Share of Current year's profit: ₹ 8,000)

88. A, B, and C are partners in a firm sharing profits in the proportion of 3:2:1. Their Balance Sheet as at 31st March, 2023 stood as follows:

Liabilities		**₹**	**Assets**	**₹**
Sundry Creditors		2,60,000	Cash in Hand	42,500
General Reserve		1,20,000	Cash at Bank	2,14,500
Capital A/cs:			Debtors	1,63,000
A	2,00,000		Stock	17,500
B	1,20,000		Investment	1,32,500
C	80,000	4,00,000	Building	2,10,000
		7,80,000		**7,80,000**

B died on 30th June, 2023 and according to the deed of the said partnership his executors are entitled to be paid as under:

(a) The capital to his credit at the time of his death and interest there on @ 10% per annum.
(b) His proportionate share of general reserve.
(c) His share of profits for the intervening period will be based on the sales during that period. Sales from 1st April, 2023 to 30th June, 2023 were ₹ 12,00,000. The rate of profit during past three years had been 10% on sales.
(d) Goodwill according to his share of profit to be calculated by taking twice the amount of profits of the last three years less 20%. The profit of the previous three years was: 1st Year: ₹ 82,000; 2nd year: ₹ 90,000; 3rd year ₹ 98,000.
(e) The investments were sold at par and his executors were paid out in full.

Prepare B's Capital Account and his Executor's Account.

(Ans: Amount paid to B's Executors: ₹ 3,47,000; Interest on Capital: ₹ 3,000; Share in General Reserve: ₹ 40,000; Share of Profit: ₹ 40,000; Share of Goodwill: ₹ 1,44,000)

89. Charles, Harry and Paul were partners in a firm. On 31st March, 2023, their Balance Sheet was as follows:

Liabilities		**₹**	**Assets**	**₹**
Creditors		10,000	Plant and Machinery	40,000
General Reserve		30,000	Furniture	15,000
Capital A/cs:			Investments	20,000
Charles	30,000		Debtors	20,000
Harry	30,000		Stock	25,000
Paul	20,000	80,000		
		1,20,000		**1,20,000**

Harry died on 31st December, 2023. The Partnership Deed provides that the representatives of the deceased partner shall be entitled to:

(a) Balance in the Capital Account of the deceased partner.
(b) Interest on Capital @ 6% per annum up to the date of his death.
(c) His share in the undistributed profits or losses as per the Balance Sheet.
(d) His share in the profits of the firm till the date of his death, calculated on the basis of rate of net profit on sales of the previous year. The rate of net profit on sales of previous year was 20%. Sales of the firm during the year till 31st December, 2023 was ₹ 6,00,000.

Prepare Harry's Capital Account to be presented to his executors.

(Ans: Amount due to Harry's Executors: ₹ 81,350; Interest on Capital: ₹ 1,350; Harry's Share of Profit: ₹ 40,000; Harry's Share in General Reserve: ₹ 10,000)

90. R, S and T were partners sharing profits and losses in the ratio of 5:3:2 respectively. On 31st March, 2023, their Balance Sheet stood as:

Liabilities	**₹**	**Assets**	**₹**
Sundry Creditors	40,000	Goodwill	25,000

Commerce Wallah

Bills Payable		15,000	Leasehold	1,00,000
Workmen Comp. Reserve		30,000	Patents	30,000
Capital A/cs:			Machinery	1,50,000
R	1,50,000		Stock	50,000
S	1,25,000		Debtors	40,000
T	75,000	3,50,000	Cash at Bank	40,000
		4,35,000		**4,35,000**

T died on 1st August, 2023. It was agreed that:

(a) Goodwill be valued at 2½ years' purchase of average of last 4 years' profits which were: 2019-20: ₹ 65,000; 2020-21: ₹ 60,000; 2021-22: ₹ 80,000 and 2022-23: ₹ 75,000.

(b) Machinery be valued at ₹ 1,40,000; Patents be valued at ₹ 40,000; Leasehold be valued at ₹ 1,25,000 on 1st August, 2023.

(c) For the purpose of calculating T's share in the profits of 2023-24, the profits in 2023-24 should be taken to have accrued on the same scale as in 2022-23.

(d) A sum of ₹ 21,000 to be paid immediately to the Executors of T and the balance to be paid in four equal half-yearly instalments together with interest @ 10% p.a.

Pass necessary Journal entries to record the above transactions and T's Executors' Account.

(Ans: Profit on Revaluation: ₹ 25,000; Amount transferred to T's Executors' A/c: ₹ 1,21,000)

91. Akhil, Nikhil and Sunil were partners sharing profits and losses equally. Following was their Balance Sheet as at 31st March, 2023:

Liabilities		**₹**	**Assets**	**₹**
Trade Creditors		40,000	Building	2,00,000
General Reserve		45,000	Plant and Machinery	80,000
Capital A/cs:			Stock	35,000
Akhil	1,95,000		Debtors	80,000
Nikhil	1,20,000		Cash at Bank	85,000
Sunil	80,000	3,95,000		
		4,80,000		**4,80,000**

Sunil died on 1st August, 2023. The Partnership Deed provided that the executor of a deceased partner was entitled to:

(a) Balance of Partners' Capital Account and his share of accumulated reserve.

(b) Share of profits from the closure of the last accounting year till the date of death on the basis of the profit of the preceding completed year before death.

(c) Share of goodwill calculated on the basis of three times the average profits of the last four years.

(d) Interest on deceased partner's capital @ 6% p.a.

(e) ₹ 50,000 to be paid to deceased's executor immediately and the balance to remain in his loan account. Profits and Losses for the preceding years were: 2019-20: ₹ 80,000; 2020-21: ₹ 1,00,000 Loss; 2021-22: ₹ 1,20,000; 2022-23: ₹ 1,80,000.

Pass necessary Journal entries and prepare Sunil's Capital Account and Sunil's Executor's Account.

(Ans: Sunil's Share of General Reserve: ₹ 15,000; Interest on Capital: ₹ 1,600; Share of Goodwill: ₹ 70,000; Share of profit: ₹ 20,000; Balance of Sunil's Capital A/c transferred to Sunil's Executor's A/c: ₹ 1,86,600)

92. X, Y and Z were partners sharing profits and losses in the ratio of 5:3:2 respectively. On 31st December 2023 their Balance Sheet stood as under:

Liabilities		**₹**	**Assets**	**₹**
Sundry Creditors		27,500	Goodwill	12,500
Reserve Fund		15,000	Buildings	50,000
Capital Accounts:			Patents	15,000
X	75,000		Machinery	75,000
Y	62,500		Stock	25,000
Z	37,500	1,75,000	Debtors	20,000
			Cash at Bank	20,000
		2,17,500		**2,17,500**

Z died on 1st May 2024. It was agreed that:

(a) Goodwill be valued at 2.5 years purchase of the average profits of the last four years, which were: 2020: ₹ 32,500; 2021: ₹ 30,000; 2022: ₹ 40,000 and 2023: ₹ 37,500.

Connect Wallah

(b) Machinery be valued at ₹ 70,000; Patents at ₹ 20,000; Building at ₹ 62,500.
(c) For the purpose of calculating Z's share in the profits of 2024, the profits in 2024 should be taken to have been earned on the same scale as in 2023.
(d) A sum of ₹ 10,500 is to be paid immediately to the executors' of Z and the balance to be paid in four equal half-yearly installments together with interest @10%p.a.

Give the necessary journal entries to record the above transactions and Z's Executor's account till finally settled.

(Ans: Revaluation Profit: ₹ 12,500; Z's Executor's balance after payment of ₹ 10,500 is ₹ 50,000)

93. B, C and D were partners in a firm sharing profits in the ratio of 5 : 3 : 2. On 31st December, 2023, their Balance Sheet was as follows:

Liabilities		₹	Assets	₹
Creditors		43,000	Cash	10,200
Bills payable		17,000	Stock	24,500
General Reserve		70,000	Debtors	27,300
Capital A/cs:			Land and Building	1,40,000
B	40,000		Profit and Loss A/c	70,000
C	50,000			
D	52,000	1,42,000		
		2,72,000		**2,72,000**

B died on 31st March, 2024. The Partnership Deed provided for the following on the death of a partner:
(a) Goodwill of the firm was to be valued at 3 years' purchase of the average profit of last 5 years. The profits for the years ended 31st December, 2022, 31st December 2021, 31st December, 2020, and 31st December, 2019 were: ₹ 70,000; ₹ 60,000; ₹ 50,000 and ₹ 40,000 respectively.
(b) B's share of profit or loss till the date of his death was to be calculated on the basis of the profit or loss for the year ended 31st December, 2023.

Prepare B's Capital Account at the time of his death to be presented to his Executors.

(Ans: B's Share of Goodwill: ₹ 45,000; Share in the loss of the firm: ₹ 8,750; Amount due to B's Executors: ₹ 76,250)

94. X, Y and Z were partners in a firm sharing profits and losses in the ratio of 3:2:1. Z died on 31st March, 2023. The Balance Sheet of the firm as at that date was:

Liabilities	₹	Assets	₹
X's Capital A/c	1,20,000	Plant and Machinery	1,20,000
Y's Capital A/c	80,000	Furniture and Fittings	75,000
Z's Capital A/c	40,000	Investments	20,000
X's Current A/c	8,000	Stock-in-Trade	32,000
Y's Current A/c	2,500	Sundry Debtors	25,000
Reserve	30,000	Bills Receivable	11,000
Bills Payable	17,000	Cash at Bank	11,000
Sundry Creditors	20,000	Cash in Hand	18,500
		Z's Current A/c	5,000
	3,17,500		**3,17,500**

The following decisions were taken by the remaining partners:
(a) A Provision for Doubtful Debts is to be raised at 5% on Debtors.
(b) While Plant and Machinery to be depreciated by 10%, Furniture and Stock-in-Trade are to be appreciated by 5% and 10% respectively.
(c) Advertising Expenses ₹ 2,100 are to be carried forward to the next accounting year and, therefore, it is to be adjusted through the Revaluation Account.
(d) Goodwill of the firm is valued at ₹ 30,000.
(e) The Fixed Capital Method is to be converted into the Fluctuating Capital Method by transferring the Current Account balances to the respective Partners' Capital Accounts.

Prepare the Revaluation Account and Partners' Capital Accounts.

(Ans: Loss on Revaluation: ₹ 4,200; Capital Account Balances: X: ₹ 1,37,900; Y: ₹ 89,100; Z's Executor: ₹ 44,300)

Commerce Wallah

95. The Balance Sheet of X, Y and Z as at 31st March, 2023 was:

Liabilities		₹	**Assets**	₹
Bills Payable		2,000	Cash at Bank	5,800
Employees' Provident Fund		5,000	Bills Receivable	800
Workmen Comp. Reserve		6,000	Stock	9,000
General Reserve		6,000	Sundry Debtors	16,000
Loans		7,100	Furniture	2,000
Capital A/cs:			Plant and Machinery	6,500
X	22,750		Building	30,000
Y	15,250		Advertisement Suspense	6,000
Z	12,000	50,000		
		76,100		**76,100**

The profit-sharing ratio was 3:2:1. Z died on 31st July, 2023. The Partnership Deed provides that:

(a) Goodwill is to be calculated on the basis of three years' purchase of the five years' average profits. The profits were: 2022-23: ₹ 24,000; 2021-22: ₹ 16,000; 2020-21: ₹ 20,000; 2019-20: ₹ 10,000 and 2018-19: ₹ 5,000.

(b) The deceased partner to be given share of profits till the date of death on the basis of profits for the previous year.

(c) The Assets have been revalued as: Stock ₹ 10,000; Debtors ₹ 15,000; Furniture ₹ 1,500; Plant and Machinery ₹ 5,000; Building ₹ 35,000. A receivable bill for ₹ 600 was found worthless.

(d) A sum of ₹ 12,233 was paid immediately to Z's Executors and the balance to be paid in two equal annual instalments together with interest @ 10% p.a. on the amount outstanding.

Give Journal entries and show the Z's Executors' Account till it is finally settled.

(Ans: Profit on Revaluation: ₹ 2,400; Amount transferred to Z's Executor A/c: ₹ 10,000)

96. A, B and C were partners sharing profits and losses in the ratio of 4:3:2. C retired on 1st July, 2023 on which date the capitals of A, B and C after all necessary adjustments stood at ₹ 75,000; ₹ 65,000 and ₹ 45,000 respectively. A and B continued to carry on the business for 6 months without settling the account of C. During the period of 6 months ended 31st December, 2023, a profit of ₹ 50,000 is earned by the firm.

State which of the two options available with C under Section 37 of the Indian Partnership Act, 1932 should be exercised?

(Ans: IOC for six months: ₹ 1,350 or Profit for six months: ₹ 12,162 whichever is higher)

Commerce Wallah